

**Amendment to Justification and Approval for Other Than Full and Open
Competition DLA Land-Warren SPRDL1-23-R-0099
Amendment 001**

- 1. Contracting Agency:** Defense Logistics Agency - Land Warren (DLA-WRN).
- 2. Description of Action:** DLA-WRN proposes to award a new Firm-Fixed-Price contract to DRS Network & Imaging Systems, LLC (DRS), Commercial and Government Entity (CAGE) 24290, for National Stock Number (NSN) 6150-01-699-8530, using Army Working Capital Funds.
- 3. Description of Supplies/Services:** The NSN 6150-01-699-8530, vendor part number PR63636 / Army Ordinance Part Number (AOPN) 12594593, Electrical Distributing System, is used on the Armored Multi-purpose Vehicle (AMPV). The deliverables for this contract are for a base quantity of 94 each, with zero option quantity. The total estimated maximum value of this contract is \$ [REDACTED].

The Distributing System, Electrical, is the Power Management Diagnostic Controller (PMDC) located on the left sponson next to the commander's station. This item distributes electrical power to the vehicle, and it stores information for diagnostics of vehicle electrical systems and components. The next higher assembly is the Common Vetronics installation, and the end item is the AMPV.

Acquisition Method Code (AMC):

4 - Acquire, for the first time, directly from the actual manufacturer.

Acquisition Method Suffix Code (AMSC):

B – This part must be acquired from a manufacturing source(s) specified on a source control or selected item drawing as defined by the current version of DoD-STD-100. Suitable technical data, Government data rights, or manufacturing knowledge are not available to permit acquisition from other sources, nor qualification testing of another part, nor use of a second source part in the intended application. Although, by DoD-STD-100 definition, altered and selected items shall have an adequate Technical Data Package (TDP), data review discloses that required data or data rights are not in government possession and cannot be economically obtained. If one source is available, AMCs 3, 4 or 5 are valid. If at least two sources exist, AMCs 1 or 2 are valid.

4. Authority Cited: NO CHANGE

5. Reason for Authority Cited: The Distributing System, Electrical is a power distribution, video processing, signal conditioning, process control, and embedded diagnostics Line Replacement Unit (LRU). It monitors discrete inputs and sensors, and distributes electrical power to control AMPV internal/external lighting, fuel pumps, ramp, personnel heater, bilge pumps, horn, etc. It supplies the instrumentation and video seen on

the AMPV Driver display. The power unit is key to the vehicle's electronics.

The Government does not have the pertinent technical data to enable competitive re-procurement. The Government does not own the necessary intellectual property data rights to the pertinent technical data to enable competitive re-procurement.

The information needed to qualify another source is defined within proprietary DRS specifications that are not in the Government's possession. The Distributing System, Electrical, is defined by DRS Performance Requirement, PE53417, and is tested in accordance with Acceptance Test Procedure PE53448. Environmental Stress Screening (ESS) must be performed in accordance with PE53475. All three specification are reference within AOPN drawing 12594593 but were not delivered to the Government as a portion of the Technical Data Package (TDP). DRS was not funded to deliver a complete TDP of the Distributing System, Electrical, and there are currently no plans to acquire a competitive TDP.

Due to the lack technical data available for the Distributing System, Electrical, Reverse Engineering (RE) is the only recourse for the Government to increase competition through development of a competitive build-to-print TDP. A significant amount of time and money would be necessary to reverse engineer, procure and test prototypes, and release the design. Through our previous experience, we estimate that the cost to develop a competitive procurement package for the Distributing System, Electrical, is estimated at \$14,584,034 to include fabrication and testing of the prototype hardware and releasing a validated TDP; as well as including the purchase of 12 units from the manufacturer to assist in reverse engineering. Vehicle level qualification and durability testing would be required to prove out this item if manufactured by a new source at an estimated cost of \$1.28M. Fabrication of reverse engineered prototypes would cost up to \$940,000.

Table 1. Reverse Engineering Breakdown	
Development and Hardware Design	\$940,000
Purchase spares	\$943,290
Develop and Validate TDP	\$2,820,000
RAM Testing	\$3,840,000
Nuclear Hardness	\$2,169,240
EMI testing	\$2,931,504
Integration & Fabrication/Installation	\$940,000
Total:	\$14,584,034

The Government would not be expected to recover in a reasonable amount of time, through subsequent competition, the duplication of costs involved in reverse engineering the Distributing System, Electrical, to create a new and competitive TDP. At the current usage rate of [REDACTED] at the current unit cost of \$ [REDACTED], and assuming 25% savings achieved through competition, the \$ [REDACTED] in annual savings would take [REDACTED] years to offset the estimated \$14.584M cost of reverse engineering the item.

Calculation:

Payback = Cost to reverse Engineer / Annual savings
= Cost to reverse [REDACTED] / (Annual Demand * unit price * 25% savings)
= \$ [REDACTED] * 0.25)
= \$14,584,034
= [REDACTED] Years

6. Efforts to Obtain Competition: NO CHANGE

7. Actions to Increase Competition: There are no plans to increase competition for future procurements due to the reasons cited above.

Due to the costs associated with developing a competitive TDP, the Government is not actively pursuing the development of a competitive TDP for future procurements.

8. Market Research: NO CHANGE

9. Interested Sources: NO CHANGE

10. Other Facts: SPRDL1-23-R-0099 is amended to reflect the accurate procurement value that was originally estimated with a unit price of \$1,480 that totaled \$481,000. After the solicitation closed, the single offer received that met the terms and conditions of the solicitation was for a unit price of \$ [REDACTED] which is a total value of \$ [REDACTED]. The change in unit price and total value caused a change to the payback calculation. However, after additional review, the original reverse engineering costs were understated and revised in this Amendment. This value now exceeds the Competition Advocate approval threshold of \$750,000. The J&A was previously approved at the Procuring Contracting Officer level, and the new approval level will be at the Competition Advocate level.

11. Technical Certification: I certify that the supporting data under my cognizance which is included in the justification is accurate and complete to the best of my knowledge and belief.

Name: [REDACTED]

Title: Division Chief

Email: [REDACTED]

Signature:

7/17/2024

X [REDACTED]

Signed by: USA

12. Requirement Certification: I certify that the supporting data under my cognizance which is included in the justification is accurate and complete to the best of my knowledge and belief.

Name: [REDACTED]

Title: Division Chief

Email: [REDACTED]

Signature:

7/22/2024

X [REDACTED]

Signed by: S [REDACTED]

13. Fair and Reasonable Cost Determination: I hereby determine that the anticipated cost to the Government for this contract action will be fair and reasonable. This determination will be based on the results of a detailed cost and or price analysis. The contractor will be required to submit certified cost and pricing data as the expected value of this procurement exceeds the threshold. This item is other than commercial.

Name: Mahlmeister, Jeffrey J.

Title: Contracting Officer

Email: jeffrey.mahlmeister@dla.mil

Signature:

7/24/2024

X //JJM//

Signed by: MAHLMEISTER.JEFFREY.J.1288587244

14. Contracting Officer Certification: I certify that this justification is accurate and complete to the best of my knowledge and belief.

Name: Mahlmeister, Jeffrey J.

Title: Contracting Officer

Email: jeffrey.mahlmeister@dla.mil

Signature:

7/24/2024

X //JJM//

Signed by: MAHLMEISTER.JEFFREY.J.1288587244

APPROVAL OF JUSTIFICATION
FOR OTHER THAN FULL AND OPEN COMPETITION

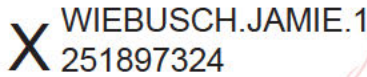
**Approval Authority for Acquisitions Greater Than
\$750,000 but Less Than \$15M**

Based on the foregoing Justification, I hereby approve the procurement of the following:

- a. Noun: Electrical Distributing System
- b. NSN: 6150-01-699-8530
- c. Quantity: 94/each (zero option quantity)
- d. Estimated Value: \$ [REDACTED]

This action will be awarded under other than full and open competition pursuant to the authority of 10 U.S.C. 3204 (a)(1) and subject to the availability of funds. This approval is subject to the provision that the property herein described has other wise been authorized for acquisition.

Signature:

 WIEBUSCH.JAMIE.1
251897324

Digitally signed by
WIEBUSCH.JAMIE.1251897324
Date: 2024.08.09 17:10:00 -04'00'

Competition Advocate